

2nd Smith Lecture

Steven Gardner

00:01

Okay, good morning. Uh uh let's see, somebody was just asking about the the Federal Reserve. uh uh open market committee meeting yesterday where they raised interest rates by a quarter of a point and that was As many of you would probably know, it was fully expected because unemployment's still just at 4.

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1%. So it's Job market's still strong, but uh inflation is still well above Federal Reserve targets, and so uh I guess if there's any surprise, it's just that Kevin Warsh you know, uh who knows what he had to say to to to President Trump to get the job, you know, but but uh Trump just said that he thinks interest rates should be up one percent, which nobody else on planet Earth believes. And so uh that would be highly inflationary if you did cut rates to uh the the overnight rate, which is what the Federal Reserve controls if you got interest rates to 1%, which would actually increase inflationary expectations, which would actually raise long-term interest rates, which is or which are already very high and making it difficult for people to buy houses and so forth soon uh for long-term purchases If you cut interest rates, caused inflation, raised inflationary expectations for long-term rates, if you want to buy a car or a house, it would make it harder.

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instead of easier. Uh if you want to borrow money overnight like a bank does, then sure. But uh um if if you watch Well every time Kevin Warsh gives well he's only given two of them now, uh because he's new.

01:58

Uh but uh anytime A chair of the board of governors gets up and gives a presentation about what the Open Market Committee just decided. There's a woman standing over at the side of the room, uh dark hair who uh walks in with him uh and then he gives the initial presentation and then she since she knows everybody in the all the news people in the room She's the one that calls on the news people and says, now you can ask a question. That woman is Michelle Andrew Smith.

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Who took this course at Baylor in 1990 from me. Michelle is uh I nominated her for a Distinguished Alumnus Award was back during COVID and so she didn't didn't come to town for that one because nobody was traveling. But we did it virtually.

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But I saw her in June when I was in DC the last time. But Michelle, uh was a journalism major at

Baylor, went through the Masters of International Journalism program, got out we helped her, she got a a job working for Lloyd Benson, who at that time was the US Senator, uh right now a Democrat, the the last Lloyd Benson, the last Democrat to be a US senator from Texas until we'll see what happens next. But uh but uh anyway, Michelle got a job working for him basically just in his mailroom But then under Clinton, he became Treasury Secretary.

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And he took Michelle to Treasury and made her the advanceperson for the Under-Secretary of Treasury for International Affairs. who was Larry Summers. Larry Summers, if you know that name, he's an incredible economics nerd, has this horrible nasal voice.

04:02

uh complete not send money you want to put out in front of people, but uh Benson was Treasury Secretary for a short time, then another guy from Wall Street did the job for a short time. The Wall Street guy didn't want to do it because he could make a lot more money on Wall Street. So he was trying to find a way to get out of being Treasury Secretary since we need Larry Summers to to be Treasury Secretary.

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So he and Michelle worked on Larry to try to make him presentable, uh which he never was. Um but he became Treasury Secretary. Then he makes Michelle Assistant Secretary of Treasury for Public Affairs, which meant she now had an office looking out at the White House.

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And she's like twenty, she was very young. I don't know of any assistant secretary of any cabinet office younger than she was at that time. Clinton administration ends.

04:58

Summers ill uh ill-fatedly becomes the president of Harvard Uh I'll explain what I mean by ill-fatedly, but he tries to get Michelle to go to Harvard with him as his promotional person. Um but at the same time uh uh I uh Good grief. The person whose name will come to me quickly, who at that time was chair of the board of the governors of the Fed.

05:30

Uh Alan Greenspan. Alan Greenspan created this new position at the Fed, Special Assistant to the Board of Governors, Chief of Staff, and created that position for Michelle, who was in this class. How many years did 36 years ago?

05:47

And uh uh uh so she did that she has done that job with Greenspan, uh Ben Bernanke, Janet Yellen uh uh last guy who I have had opportunities to meet. I'm bad with names at at my advanced age and now with with Kevin Warsh. And uh and she's wonderful and she hasn't changed a bit.

06:15

She's still the same human being that she was when she was at Baylor. And uh so if you if you ever watch those press conferences, just notice this woman over on the side of the ro of the room. That's that's Baylor alumni, uh Michelle Smith.

06:32

She She was in classes with Ayman al-Safadi, who came here from Jordan, also in the Masters of International Journalism program. He took the same courses with me in the same classes with Michelle. He is now the Foreign Minister of Jordan and and uh uh what is it?

06:53

Anyway, he's the Deputy Prime Minister and Foreign Minister of Jordan. So that was an interesting group of people I had in 1990. Other Baylor alumni, how many of you know who who uh Sky Perryman is?

07:11

I'm just always curious Nobody? Really? Okay, Skye, Baylor alumni, I've known him since she was born.

07:21

Because her her dad, Ray Perryman, used to teach here in the department. I was went to see Nancy's wife at the hospital when Skye was born. But Skye is now the author of a New York Times best-selling book, uh, Ordinary People, Extraordinary Times.

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She's the president of something called Democracy Forward in DC uh again when I was in DC in June hung out with Skye and her husband Cole who used to be Skye's husband was one of the authors of the Iran nuclear deal uh back in the Obama days and uh Uh so they are an interesting couple. He's he's sort of on hiatus right now to take care of their son while she's running all over the country uh doing things that she does as president of of democracy forward. And uh and and then I think I saw one or two of you last night at the Tolerico thing.

08:25

And uh I went before that to a fundraiser. Lyndon Olson, Baylor alumnus, who's who was US Ambassador to Sweden Back in the Clinton and George W. Bush days, uh Lyndon got me to come over and organize a couple of conferences in Stockholm while he was ambassador and we've been good friends ever since. But But he uh he held this thing at his rather large home last night for Tolerico and uh uh And so I had a chance to talk to Tol Rico for a couple of minutes about the fact that we have a common acquaintance.

09:09

When I was in high school in height in Dallas a million years ago Uh one of my good friends in high school was a guy named Jim Rigby, who uh we were both in speech and drama stuff at

Kimball High School in Dallas. Well, Jim Rigby eventually became the pastor of St. Andrew's Presbyterian in Round Rock, Texas. You're smiling, do you know, Jim?

09:34

Okay. And uh Uh so anyway, he was Talarico's pastor for most of his life. So biggest aside from Taler Rico's grandfather and in some sense great grandfather, I think Jim was the big biggest influence on him in terms of his theology and so forth because Jim is let's say a rather progressive guy Anyway, that's a few things going on.

10:04

So, uh if you've had a chance to look over any of the atoms, I know I've Scott and I have been going back and forth. He's in Balan right now, as you may know. Poor guy.

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And uh uh so he and I have been exchanging texts on a lot of things, AI, the AI apocalypse and all sorts of other issues that we've been uh going back and forth on. But uh But he told me that Tuesday he did talk about Adam Smith part of the time, but it was it was the contextual stuff, not not what I'm doing. So uh before I get started any questions, comments about anything?

10:50

Nope. Okay. Well, uh quickly reviewing what I talked about what was that a week ago.

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Um uh Adam Smith Basic argument, a country, it's, you know, the nature and causes of the wealth of nations. And so what's the nature of the wealth of nations? It is a nation's well off if people have a high standard of living.

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Uh the the mercantilists had talked about a nation being wealthy if it just has a lot of gold. And if you had a lot of gold, you could use it to uh buy armaments and mercenaries to fight wars. So a big powerful country was one that had a lot of gold But uh and therefore mercantilists said that if you want to build up your stock of gold, you need to you need to regulate trade.

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You need to uh have governmental support for exports and and limits on imports because when you sell exports you earn gold from the rest of the world. When you buy imports you lose it. So we want to keep exports greater than imports He would say, and that keeps gold flowing.

12:02

That mercantilist would say, this is not Smith. Mercantilist would say You want to keep exports greater than imports through governmental uh uh intervention. And that'll keep gold coming and we get wealthier.

12:18

Uh Smith would say, you know, at the extreme, uh that's crazy. Uh if you if we exported everything that we produce and we didn't import in anything. We'd get a lot of gold for a year and and then we'd all starve to death because uh uh if we exported everything we produce and we don't import it we would have nothing.

12:40

And uh so Uh uh no the wealth of a country is not its gold. The country's wealthy, he said if you have a high standard of living. Where does high standard of living come from?

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It comes from productivity. If If workers are productive, we have more goods. And if we have more goods, we can either consume what we produced or we can exchange part of what we produce to other people in other countries uh to get other things that we want.

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But ultimately you gotta be productive in order to be able to either consume that or to get anything from anybody else. So productivity is the key. Where does productivity come from?

13:21

What he called the division of labor specialization, if you do what you do well and I do what I do well, then we're both going to be more productive than if both of us tried to do everything And uh so we need a division of labor. And then there's that weird chapter, uh, the the principle that gives occasion to the division of labor Well how did people get specializing in the first place? And I I won't say any more about that right now, but there's that weird little chapter in there.

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But then he gets back on his argument and says Division of labor is limit limited by the extent of the market, the size of the market. The more people are trading with each other, if Robinson Crusoe's on an island by himself He has to produce everything for himself. And so uh if his friend uh Friday shows up on the island, they can specialize a little bit and trade with each other uh if they open trade with nearby islands then you can expand the market, have more specialization, the bigger the market is the more specialization you can have and the higher the productivity levels will be for everybody.

14:34

And in principle everybody can be better off because we've produced more stuff and we divide up the extra stuff. between ourselves. So in principle, everybody could be better off.

14:47

As we know the problem is that when countries trade with each other, we end up with so-called winners and losers and each country sign a trade agreement and some people lose their jobs in the let's say the US, other people get more money and so There's this principle in economics that says that if the winners would compensate the losers, everybody could be better off. But

the problem is that doesn't happen And so uh therefore we end up with sort of populist protectionism that says we gotta stop trading with countries because because they're losers. And uh the better answer would be to find a way to to keep productivity and trade going and and to do it fairly, but we've done a lousy job of that as human beings.

15:38

So that's the basic argument for free trade. Then he goes into his theory of value. And we had that thing where he says, well, that word value has sort of two different meanings.

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Uh some people use the word value to talk about whether something's useful and other people use the word to say uh it's valuable if I if this product will get a lot of other stuff for me. Value in exchange, value in use. Smith says the two just don't seem to be related to each other.

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So I'm this is an economics book. I'm going to talk about value of an exchange. What is it that determines exchange value?

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Well basically it's cost of production. If it costs a lot to produce a product, it'll have a higher price. The cost of production, he breaks it down into three components: wages, profits, and rents Uh he says there's sort of a an average or natural level for each of those.

16:42

And so if something is uh being sold at a price that covers costs of production where everybody's getting a normal income, workers, capitalists, and landlords, then the product is being sold what by at its what he calls natural price But if there's too little of something that's brought to market, the market price can rise above the natural price. But that incentivizes, uh that that creates extra incomes for people, which means that uh they will Uh if there's a shortage of the things somebody, workers, capitalists, or landlords is going to get an extra income because the price has gone up That'll incentivize people to produce more of it. So there's a tendency for the quantity supplied to become equal to the quantity demanded at the natural price.

17:38

So there's a tendency in the long run uh for the market price to gravitate towards the natural price, which is equal to just the wages, profits, and rents that are necessary to produce that product. That's pretty much what we got to last time, I think. So now he says, so If the price is explained by the sum of wages and profits and rents that are necessary to produce a product If I can give you a theory of wages and a theory of profits and a theory of rents, and you add them together, I've given you a theory of prices.

18:16

That's my theory of value. So here we are his chapter on wages. In that original state of things, before appropriation of land, accumulation of stock, the whole produce of labor belongs to the laborer.

18:32

So uh everything is wages. If if I'm just uh in a primitive society and I go and I hunt down, he talks about uh deer and beavers. If I hunt one of those things down, it's mine.

18:48

Uh I get sort of repaid for my working time. And so I get the full value of of whatever this thing is that I produced or or hunted down. I don't have to share that value Let me get this thing off.

19:07

I don't have to share that with a landlord or a master. But uh as soon as land becomes private property, the landlord wants to get a a share of the income, that's the first deduction from the produce of labor. And then also seldom happens that the person who tills the ground has the wherewithal to maintain himself till he reaps the harvest.

19:36

Now, this paragraph has more meaning than it would appear to have. I'll explain that. But basically saying that anyway is maintenance, the the workers maintenance, survival.

19:52

uh is generally advanced to him, loan to him, uh from the the stock, the wealth of a master the farmer who employs him, who would have no interest to employ him unless he was to share in the produce of his labor, or unless his stock was to replace him with a profit. So that profit is another deduction from the produce So, I mean here's sort of the image that Smith has of agricultural production. You've got landlords who own the land.

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It's possible that the landlord is also the capitalist who uh who has some savings and is in a position to go out and hire workers uh and use that hired laborer to work on the land. And then you got the laborers that that work on the land. So those are the the three groups Uh in a primitive society, one person does all three things.

20:55

I stake some claim over a little bit of land and I and I uh work to pay myself and uh and I work, you know, so I'm doing all three. But we've sort of divided that up into three groups of people. But The uh this when he says that the uh the person who tills the ground seldom has the wherewithal to maintain himself till he reaps the harvest So there the there's this capitalist class, if you will, that has savings, and they use their savings to hire people.

21:38

The implication of that is that in a sense, you know, the workers could not survive without the

capitalist class. The working class doesn't have the wherewithal to uh to survive without getting this help from the capitalist class. So this is what this is sort of the germ of what eventually, if you run across this somewhere in Hunt's book or something, if he ever talks about the wages fund idea There was this idea that developed comes sort of out of this part of Smith.

22:15

It gets picked up for a while by people like John Stuart Mill in the classical school. And the idea was that There's this uh what this developed into is this idea that the capitalist class has a stock of savings, and it's that stock of savings that is the source of wages And if you push that idea farther, there's this idea they'll in places Smith himself talks about the savings that are quote destined for the payment of wages So what that got sort of contorted into is this idea that that there's there's a stock of savings that the capitalist class has that's going to be used for to pay po pay wages. And so the average wage rate is just going to be that stock of savings divided by the number of workers or work hours.

23:14

And that in turn was used as an argument to say labor unions really can't uh have any effect on wages. Because if if wages are determined by the savings of the capitalist class that came from things that happened last year. It's the savings of the capitalist class from last year that creates a wages fund that's getting it divided up to the workers this year Then how can a labor union this year affect the savings last year of the capitalist class So eventually John Stuart Mill, if you Google him or anything, he eventually decides that's wrong and he becomes a big supporter of the labor movement.

24:01

But that's why I say there's a lot that's kind of hidden in this language. If you just read that, uh you might not see all that coming from from this language. So um so another way to say it is that the the The wages fund, another way to say it, maybe more accurately, is that there's there is an upper limit on how high wages can go If wages are paid out to workers out of the savings of the capitalist class, capitalists can't pay more than they've got.

24:48

uh and uh as a as a group they can't. And so that sets an upper limit. Uh whether they're going to use all of their savings to To send it out into wages is a different question. But the savings of the capitalist class set sort of an upper limit on how many wages can be paid out to the working class while we're waiting for the next harvest to come in.

25:13

Because that's part of the Since this is all sort of an agricultural example, you've got this timing that we had last year's harvest that that gave some uh profits and therefore savings to the capitalist class until next year's harvest comes in. We're kind of those are the savings that exist. So that's an upper limit He says, what are the common wages of labor?

25:39

He says the wages fund He doesn't use that term, but the wages fund sort of sets an upper limit, but that but wages don't always go all the way to the upper limit. uh according to Smith, like said some classical economists act as if it did. What are the common wages of labor Depends everywhere upon the contract made between the two parties whose interests are by no means the same.

26:04

Workman want to get as much as they can, the masters, the employers want to pay as little as they can. So we've got a negotiation going on between workers and capitalists. So So the wage rate's got to be out here in the middle somewhere determined by that that bargain.

26:24

But on the other hand One one party has an upper hand in this negotiation. It's the the masters, he says. It's not however difficult to foresee which one has the advantage of forcing the other into compliance, the masters, the employers, being fewer in number, can combine can collude with each other more easily.

26:50

And the law at that time authorizes and does not prohibit cooperation between the mas the masters, uh where there were laws at that time against labor unions. And uh we have no Acts of Parliament against combining to lower the price of work, but we have many against trying to to raise it. Then he says, now you may not have heard about uh masters getting together and colluding with each other But whoever imagines that masters rarely combine is ignorant.

27:29

They're always and everywhere in a sort of tacit but constant and uniform combination. Uh to violate this combination is the most unpopular action among the employers. Sort of reproach to masters among their neighbors and equals.

27:44

If you go to the club today and the other masters find out that you gave a wage increase to your workers, then you're in trouble at the golf club. And so the uh uh Adam Smith, it is to be noted, you know, he's a laissez-faire free markets guy, but he's he's You know, in many ways he would see himself as both a uh consumer advocate and a worker's advocate Here he's saying uh consumers, you've got the the the uh mercantilists who were uh uh the predecessors, well they were still around, but predecessors of Smith, who Smith saw the the mercantilists as being sort of in in bed with industry where Smith would say, no, we need competition, we need imports to bring prices down to help consumers. And uh and he's pointing out we don't want to do anything that makes it easier for the employers to get together uh uh in a different place I can't remember if I included it in these readings or not, but he talks about uh there's a famous quote from Smith where he says that uh people in the same uh branch of business seldom to g get

together even for merriment and pleasure without launching a conspiracy against the public.

29:14

That if you get business people together they tend to try to uh conspire against the public and against the workers. So Smith uh is a free markets guy, but he's a free markets guy, he would say, in support of workers and consumers. Though in disputes with their workmen masters generally have the advantage, there is, however, a certain rate below which it's impossible to reduce for any considerable time the wages of even the lowest species of labor.

29:50

And then basically what he says there's a subsistence level. There is some level of wages. below which people just can't live, uh survive.

30:02

And if you try to if you push wages down to that level, uh You uh ultimately, this is what eventually became known as the so-called iron law of wages, and we get around to David Ricardo He sort of assumes, uh, so does Malthus that wages tend to stay at the subsistence level just based on the history of humankind up to that point is that the working class tended to stay pretty close to subsistence. So the iron law of wages was just to say that there's a subsistence, a kind of survival level of wages. If wages, this is what Smith is about to say, uh uh further down here somewhere, uh uh He's gonna say that that yeah, I think it's right at the very end.

30:58

Let me skip to the yeah, here we go. Poverty, though it does not prevent the generation who is extremely unfavorable to the rearing of children Tinder plant is produced. Anyway, it is not uncommon in the Highlands of Scotland for a mother who has born twenty children not to have two alive.

31:19

90% infant mortality rate. If you're living in a place with a crazy high infant mortality rate, Uh and if wages are already close to the subsistence level, and if wages fall below the subsistence level, it means the infant mortality rate goes even higher and uh you end up with more of a labor shortage. On the other hand, maybe what would sound like more optimistically, if the economy gets growing And uh that increases the demand for labor.

31:56

And if wages rise above the subsistence level, if Wages rise above the subsistence level in a place where you've got a 90% infant mortality rate. More babies survive And uh that twenty years later or fifteen or whatever the uh time people start going to work. You get an increase in the labor force supply of labor group speeds up and starts pushing wages back down to the subsistence level again.

32:31

So so a lot of the classical authors sort of operated on the assumption that wages tend to stay close to the subsistence level. Smith is sort of uh saying that that uh that uh while You know, they can't for any significant time go go below that. Uh uh But then he uh let's see, so yeah, subsistence level There are circumstances, however, which sometimes give laborers an advantage and enable them to raise their wages considerably above this rate.

33:20

When in any country the demand for those who live by wages is continually increasing. Continually increasing. Then every year furnishes employment for a greater number than it had been employed the year before.

33:36

If if the economy is is not just growing, but it's just growing and speeding up. If you've got a really rapidly growing economy, then uh then there's got to be a tendency for the demand for labor to start outrunning the supply of labor. And so it's going to pull wages up Well, like I said before, if if if the economy grows and then it levels off then eventually those higher wages will bring on a burst of population growth that'll just pull wages back down to the subsistence level again, in his theory.

34:18

And therefore, that's why it's not to keep wages above subsistence. You don't just need a big labor uh uh you don't just need a burst of economic growth, you don't just need national wealth and good infrastructure and so forth. You've got to have a continually growing economy That's the only thing that will keep wages above the subsistence level.

34:47

By the way, he sticks in the the middle that wages fund idea again. The demand for those who live by wages, it's evident, cannot increase, but in proportion to the increase in the funds destined for the payment of wages. Remember what I was saying a few minutes ago about all that.

35:05

But then it is not the actual greatness of national wealth. But it's continual increase that occasions a rise in the wages of labor. So it's not in the richest countries, but the most thriving are those growing rich the fastest that wages are highest England, he says, you know, we're obviously, or England, the the UK we think of now It's a richer country, we've got better roads, we've got better infrastructure, we've got all that.

35:37

We've got uh we're a richer country than uh uh uh than North America, but the wages of labor are much higher in North America than in any part of England. So it is he's making the argument that North America's been experiencing long-term growth. And that is what has kept

wages up.

36:07

At the other end of it, he uh he talks about China uh at the time that he's living, and he says if we Uh if we look back uh Marco Polo who had uh who had visited Well, that's a long story in itself, because historians disagree on whether Marco Polo actually made it to China or not, because he never mentions the Great Wall, etc. , even though he went through uh an area where the Great Wall was, but the Great Wall then wasn't what it is now. And s anyway, historians disagree on whether Marco Polo made it at all. Did he just make it to the Middle East, hear stories about China, come back to Italy?

36:53

in prison give tell stories to a ghostwriter and then write a book that that Christopher Columbus had with him when he said, Oh, maybe the world's round. Maybe I can get uh there the other way around. And so So uh uh he wrote a really important book about China.

37:12

We don't know if if he made it there or not. Uh but he uh Uh but he says, uh Marco Polo visited China more than five hundred years ago, describes its cultivation industry almost in the same terms in which they're described by travelers in present times. So basically what, and then he says some horrible things about the the poverty that he saw in Canton Guangzhou.

37:42

at his time, or that that others had reported from China in seventeen seventies Anyway, basically what Smith is saying is that yeah, China went through uh, you know, it was the most advanced country in the world at one time, uh, developed iron, all sorts of things before the Western world did, uh, hundreds of years uh uh before uh Europe developed a lot of technological achievements. So they went through this burst of growth, but it looks like what happened, his theory, what happened is they had a burst of growth That burst of growth brought on a lot of population growth. So you ended up with a big population in China.

38:27

But then eventually the economic growth leveled off And because the economic growth leveled off, uh wages went back down to a uh a subsistence level, but with a much larger population. That sort of Adam Smith's theory of uh you know, I taught comparative economics here for years and I've been to China a dozen times, and but I've had long conversations with Chinese economists about the the question of how did China that was so advanced at one time, how did it fall behind the Western world? And uh you can th there are at least twenty different theories of sort of what happened to China back at that time.

39:15

But uh this is the Adam Smith version of that. Um uh I think among Chinese economists that I know best to w I was in Denver one time in a room in a car going to dinner with a group of

Chinese economists who were arguing with each other. But what they finally agreed is that what happened is a lot of our uh inventions were getting out to the West and and benefiting Western development, but we cut ourselves off from the developments in the West and therefore technologies were not flowing back in and we allowed ourselves to sort of get cut off through isolationism.

39:57

So again, Smith would probably Feel good about that too because Smith was not real big on isolationism. Um so um Anyway, Smith seems to have on his theory of wages, the way I've usually summarized is to say he's got sort of a theory of the bottom, a theory of the top The bottom, wages can't for any sustained period of time go long lower than subsistence. Wages can't go higher than what capitalists can pay, the wages fund, those savings of capitalists or the fund from which wages are paid.

40:39

So they can't go higher than that Uh at any given time there may be going to be somewhere in the middle depending on how rapidly the economy is growing. If if the country's growing quickly Wages will rise above the subsistence level. If you can keep it growing, they can stay above the subsistence level for a sustained period of time.

41:02

But if you allow economic growth to stop uh you're you're heading back to uh subsistence again. Uh that becomes that that fixation on economic growth Uh David Ricardo, when you get around to him, he's gonna come up with sort of a different theory, a kind of a pessimistic theory that says if we continue to cut ourselves off from the rest of the world. Uh England is a country that has a comparative advantage in industry.

41:41

We have been restricting, Ricardo around 1801 would say, we've been restricting imports of food from the rest of the world It's costly for us on an island to produce food. And so uh if we don't import the food, food prices go up. If food prices go up, wages have to go up.

42:01

If wages go up, that eats into profits. If profits fall, investment will stop. If investment stops, economic growth will stop.

42:13

And wages will sink to the subsistence level. So we gotta keep economic growth going. And but Ricardo says the good news is we can do it.

42:23

We just need to adopt free trade. We need to start importing food instead of trying to produce it. So it's it's bad news but with a solution.

42:33

Karl Marx is going to say now there's a falling rate of profit that can't be fixed. because it's it's uh it's just built into capitalism. But John Stuart Mill, eighteen forty eight, is gonna say Uh economic growth, uh there is what we don't have to have economic growth forever.

42:53

Uh things uh in the natural world trees don't keep growing until they reach the moon. There is some level that you get to Smith, uh I mean uh uh John Stuart Mill is gonna say we already have all the wealth in England we need. If we had a better distribution of income, everybody in England in eighteen forty-eight could be doing pretty well Uh so uh no uh he says I am not so worried about this what became known as the stationary state.

43:26

There's a chapter in Mill's Principles of Political Economy where he says, I'm not as worried about the stationary state an end to economic growth as other economists are. But part of that concern about keeping growth going comes from Adam Smith, who said if you don't keep growth going, wages are heading back to subsistence. Profits of stock.

43:54

The rise and fall of profits of stock depend on the same causes, same, with the rise and fall of wages, but But in opposite directions. Uh the increase of stock that raises wages tends to lower profits. Economic growth He said, if we have economic growth, it's a good thing, but economic growth has two negative effects on profits One is that if we have economic growth and we have investment and more businesses coming into existence that are competing with each other.

44:35

Then you break down a lot of monopolistic barriers that have existed in the past. And so the increase of stock, the investment that brings new businesses into existence. uh reduces monopoly powers that allow people to jack prices up and restrict and therefore uh competition will tend to pull wages down from monopoly levels But the other thing he says, he just said in the previous chapter, economic growth strengthens the bargaining position of the working class.

45:11

He said normally the the the the capitalists normally the masters have the upper hand in the negotiations, but if the economy is growing rapidly and continuously That strengthens the uh bargaining power of the working class and pulls wages up. And so economic growth he believes, uh uh is likely to he's he says this up front, but I think he got the idea from somewhere and he's gonna go into it. He says uh It is not easy to ascertain what are the average wages of labor even at a particular place in that particular time.

45:55

Saying this is 1776. We don't have good data. And so even in a particular in London, if we

wanted to know what average wages are in London in 1776, it wouldn't be easy to get the data and get a good answer to that question uh even for wages.

46:15

But even this can seldom be done with regard to profits of stock. Profit is So fluctuating that the person who carries on a particular trade can't always tell you himself what is the average of his annual profit. My brother is a building contractor.

46:32

small-scale building contractor and he's a lousy accountant. And so my brother never has any idea how much money he's making He always has trouble filing for his taxes. He went for years without doing it at all and nearly got thrown in prison for it, you know.

46:49

So so uh You've got a lot of small business people who have no idea how profitable their businesses are because they're lousy accountants. And so uh if this is England 1776 or or the U or Great Britain. It's one thing, wages are at least somewhat observable.

47:11

Profits are more complicated. And so So we really don't have good data on profits. But though it may be impossible to determine with any degree of precision what are or were the average profits of stock either in the present or in the past, some notion may be formed of them from the interest of money, may be laid down as a maximum wherever the great deal can be made by the use of money, a great deal will commonly be given for the use of it.

47:42

If if I'm a wealthy person and I have a choice, I can take my wealth and I can, let's say, put it in the bank and earn interest Or I can put it into a business and try to earn profits, then I'm choosing where to put my wealth, and those two uses are competing with each other. If uh uh if interest rates are really high, then uh I'm tempted to just put my money in the bank and stop investing in businesses and if I stop doing that and other people stop investing in businesses There will be fewer businesses, fewer goods, higher prices, profits will start rising, and so there's a tendency for interest rates and profit rates to sort of equilibrate a little bit over long periods of time. Not all that much.

48:36

You know, this is a little bit of information not from Smith, obviously uh but uh the return on equity in manufacturing and the prime interest rate and yeah maybe you can find a little bit of correlation in there somewhere but over long periods of time Uh you depending on which interest rates and what measure of the profit rate, you can say they ought to kind of move together over long periods of time. Uh then you turn the page in Wealth of Nations, and all of a sudden he starts giving us a history lesson. He was just talking about interest rates and profit rates, but then all of a sudden He starts, it's like, wha what are you talking about now?

49:23

He says by the 37th decree of Henry VIII, all interest above 10% was declared unlawful the usury rate. Going back to in the ancient world, uh there was a taboo on charging especially high interest rates. almost everywhere in the world.

49:43

It's it's in the Old Testament, the Bible, uh the New Testament you have Jesus saying Lynn expecting nothing in return. Uh in Islamic law there's still uh you know, restrictions on charging interest on uh well uh taboos on that. Uh you find this in Confucian thought The ancient world there were taboos on charging interest almost everywhere and it showed up.

50:08

Uh when I was your age in Texas, you could not charge more than 10% on a home loan. Uh that was the usury rate in the state of Texas uh when I was your age uh and for quite a while after that. Uh but eventually in the 1980s when market rates went way up and savings and loans went out of business, uh including my brother-in-law, who had been a uh president of a savings loan, lost his job because you had this mismatch between market rates and the usury rate.

50:44

And so a lot of SNLs went out of business. Anyway, he's saying there was a usury rate. Henry VIII said highest interest rate has to be 10%.

50:55

In the reign of Edward VI, they didn't let you charge interest at all, but then eventually they couldn't keep doing that. And so it was brought back uh and then Elizabeth uh uh brought it to ten percent and that stayed there until James the First when it was restricted to 8% and then to 6% soon after the restoration and then 5% under Queen Anne. What I hear Adam Smith saying is, okay, I wish I had data on profit rates, but I don't. Profit rates ought to be correlated in the long run with interest rates.

51:37

I wish I had data on market interest rates. I don't What I do have is access to a law library, and I can look in that law library and I can find that once upon a time the uh the legal maximum interest rate was 10%. And then subsequent uh leaders of of Great Britain kept reducing it to the point where it was five.

52:07

And all of these different statutory regulations, he says, seem to have been made with great propriety. Now that's a weird statement for Adam Smith to say that all these laws were following what the market was doing instead of screwing around with what the market was doing. That's a weird thing for Adam Smith, a laissez-fair guide, to say that uh the the the laws were all pretty good.

52:35

Uh but by saying that what he's able to say is I th I think that the The uh I think that the legal maximum interest rate was coming down because they were following what the market was doing. He has no evidence of that, and I think he's wrong But but he has no evidence of it. But since the legal maximum interest rate was coming down and he assumes that that means the market rate is falling, that means that also And if the market interest rate has been falling, and if it's correlated with the profit rate, that says we've had a falling profit rate in England.

53:15

Uh that sounds kind of, you know, uh is that a bad thing that the profit rate is falling Well, since the time of Henry VIII, the wealth and revenue of the country have been continually, remember that word continually, continually advancing. We've had continual economic growth. uh pace seems to have sped up instead of slowing down.

53:40

They seem not only to have been going on, but faster and faster. The wages of labor Remember, rapid economic growth, continual economic growth pulls wages up, in his theory. Wages uh have been increasing and uh profits of stock have been diminishing.

54:00

So we end up with the Adam Smith version of what I would call the theory of the falling rate of profit. Adam Smith says rate of profit's been falling, and that's good news. That's good news because it says the economy's been growing rapidly breaking up monopolies, strengthening the the the uh the position of workers allowing workers to have wages above the subsistence level that's all just good Later, Ricardo, you will see, I won't be here, but but Ricardo is going to say, yeah, the rate of profit's been falling, but not because of that.

54:39

No, wages have been down at the subsistence level Profits are falling uh because uh prices have been rising because we're because we're trying to produce our own food and we don't do that well And so prices are going up. Therefore, money wages are going up because prices are going up. Money wages have to rise just to keep real wages at the subsistence level And it's that rise in money wages that is causing the rate of profit to fall.

55:14

And if we keep doing this, economic growth will stop, and that would be horrible And so we need to adopt free trade, import food, keep food prices down. That will allow profits to continue and economic growth to keep going. John Stuart Mill, as I said, is going to say, don't worry so much about economic growth.

55:36

Yeah, you're right. It's we're probably le headed towards a stationary state, but that's no big deal. We need to worry more about improving distribution of income.

55:46

Karl Marx is going to say, yeah, the rate of profit's been falling. But see, after Adam Smith comes up with this kind of goofy set of statistics, everybody else just thinks it's right. Everybody else assumes that Adam Smith is right with this assumption that the rate of profit has been falling because the usury rate has been falling. And that's there's no strong evidence of that.

56:15

But Adam Smith sets off this chain of ideas from him to Ricardo to Mill to Marx. They all have a theory of the falling rate of profit that are just all different from each other. Karl Marx is going to say rate of profit's falling because capitalists in the uh uh as part of capitalist economic development, they invest more and more in machinery instead of investing their money in workers. You can't you can't exploit machines, Marx will argue.

56:50

Machines, you pay something for them and they create the same amount of value that uh that you paid for the machine in the first place. You don't get so-called surplus value from machines. You get surplus value from hiring workers. Because they create more value than their own subsistence value in the market system.

57:13

Therefore, that's the source of profits. But if a larger and larger percentage of your investment dollar is going into buying machines instead of hiring workers the overall rate of profit falls. Why would capitalists do that because they're competing with other capitalists. Uh they have to invest in machines because other capitalists did.

57:39

That reduces the prices of the products, makes them cheaper. So in order to just stay in business capitalists are kind of locked in this competition that eventually leads to a falling rate of profit and that and a bunch of other things will eventually cause capitalism to blow up and go away, Marx thought. But all that goes back to this uh little set of data that Adam Smith put together. The lowest ordinary rate of profit must always be something more than sufficient to compensate occasional losses.

58:15

Just like there's a sort of an upper and lower limit on wages. Capitalists won't keep investing and trying to make profits unless they at least get a return above the risk of losing their wealth. The highest ordinary rate of profit eats up the whole of what could be the rent of land, leaves only that part of the labor.

58:42

you know, leaving workers down at subsistence. So if it is uh if you've sort of done away with landlord rents and you've driven workers to subsistence, that sets an upper limit on un

profit rates. Any uh this last paragraph Our merchants and master master manufacturers complain much the bad effects of high wages on raising prices, uh and therefore lessening the sale of their goods.

59:14

They say nothing about the bad effects of high profits. Or you might nowadays you might say high executive pay. You know, uh they're silent with regard to perdition effects of their own gains, they complain only of those of other people Once again, Smith is sees himself as sort of a workers advocate.

59:35

Uh capitalists complain about having to pay high wages unless it's their own. And uh so uh Any any question about any of this? Yes.

Student 1

59:47

So are you saying that Smith believed more in workers than I guess buying more capital?

Steven Gardner

59:55

Uh do you mean Marks?

Student 1

59:56

Yes. Well I just I thought it was Smith.

Steven Gardner

59:59

No, Marks is the one who said that again, you got Smith who says there's a falling rate of profit Uh he comes up with this set of data. And so Smith says there's a falling rate of profit, but it's good news. Uh falling rate of profit because uh economic growth is given high wages to workers and more competition between capitalists keeping prices down.

01:00:22

And so a falling rate of profit is a sign of a healthy economy up to some point. Uh as I said, Ricardo said, well, falling rate of profit's a bad thing. It'll end economic growth, but we can fix it.

01:00:37

uh by moving to free trade. Karl Marx says there's a falling rate of profit because of what you just said, because capitalists are forced by competition. to and presumably y'all will read into more of these other authors later, you know, in the course.

01:00:57

But but uh but Marx would say it's the forces of competition that force capitalists to invest to put a bigger and bigger share of their investment dollar into buying machines instead of hiring

workers. And in the long run, you can't exploit machines, he would say. You can only you only get profits out of workers, not out of machines.

01:01:23

And uh they are forced to do that by the fact that they're competing with other capitalists that are using machines that are improving productivity and bringing prices down. But Buying machinery is not the source, according to Marx, in his particular application of the labor theory of value. That is not the source of what he calls surplus value, which is where profits come from.

01:01:49

Any other yes?

Student 1

01:01:51

Um could you explain, I think I might have mistaken, why select things to theory of all these

Steven Gardner

01:01:58

Why is it good that profits are falling? Yeah. Because he thinks that it's a symptom of economic growth.

01:02:06

I mean it's it's The economy's growing, wages are high, uh capitalists are competing with each other, they're still doing fine, you know, they're But but they are having to compete. So monopoly profits he does not see as a good thing. And so if if there's economic growth has more firms competing with each other and that kind of brings profits down to normal levels and workers are better off then if we can just keep economic growth going, wages can be high and everything's good.

01:02:40

Yep.

Student 2

01:02:47

Competition and profit where I think often in competition we think of like reinvestment and capital investment. Yeah. But profit we think of something like before capital investment.

01:02:56

reinvestment in a lot of people. Well it's kind of a circle. It's absolutely a circle like with that declining profit the is Smith kind of attributing that to uh instead of just um taking my bag of gold to my estate now I need to update the processes, I need to hire more people, I need to be competitive so I have have to reinvest.

Steven Gardner

01:03:17

That's right. Okay. And keep extending that sort of division of labor. You know, it is um uh reinvesting doing all the things bringing in new technologies and so forth that that uh that keep economic growth going.

Student 2

01:03:36

We would see like high reinvestment as a good thing in a company. Like if they if they if if a company does really well and like pays a bunch of dividends, does a bunch of buyback and pays all their executives. Like that's good, but like we you know almost like from a small business restaurant perspective, it's like, oh, you went on vacation But you could have done this, you could have updated things, you could have like I I guess we kinda see that as a good thing instead of like we wouldn't even see that as declining profits because we They're making more money. It's just they don't see it in things that aren't associated with business

Steven Gardner

01:04:17

And and and yeah, it could, yeah, he's saying it's a a falling rate of profit, but a falling percentage of profit in a glow in a growing economy So the the mass of profits can be growing in this thing while the percentage is is falling. And uh so It's uh in this rapidly growing economy, that's part of his optimism about it all. And uh I mean later he's going to T he Smith is just a very optimistic guy.

01:04:51

He's gonna say later, I think we'll I think I included this, that even in countries with bad governments uh good people tend to outnumber bad people he thinks and so most people he thinks are um are are trying to improve their lives and as long as you allow people to keep trying to people naturally want to improve their lives and if you allow people to work at that and to cooperate with each other there's what he sees as this natural tendency towards ongoing improvement that usually overpowers, he said, even bad governments, even bad policies. So uh uh He's he's also more optimistic than the physiocrats. Uh he uh in his chapter on physiocracy, even when he talks about uh some of the physiocrats who thought that that people uh had to the physiocrats were in favor of laissez faire, of of leave keep the the government out.

01:05:57

But he said th they seem to think that unless you have an extreme version of that uh the economy just can't succeed. And he said, actually we know and and uh we know Smith says in the chapter on the physiocrats we know that the uh the economy is sort of like the human body. The human body uh can survive in a lot of different environments and and people can do pretty horrible things to their bodies and still survive over long periods of time.

01:06:33

Uh the there's this sort of ability of the human body. So he compares the economy to that. And

so He's generally just a very optimistic guy about all of this.

01:06:47

Well, rent of land Here's where I think he falls apart. This is where Ricardo and others will say that he falls apart. And it's also what Hunt says.

01:07:00

But My take on is a little bit different from Hunt's. Uh rent, price paid for the use of land, naturally the highest That the uh the tenant can afford to buy, uh, to pay in the circumstances. The landlord endeavors to leave the tenant with no greater share of produce than sufficient to keep up the stock. So he sees the landlord, and there's a little of this you'll see later in Ricardo.

01:07:29

Uh the the The landlord is somebody who's sort of looking at the tenant and saying, how much can I squeeze out of these people? Can I If if it's rent to somebody that's just living there, can I sort of squeeze it down to where they're just kind of left with subsistence? If it's a business Uh can I squeeze them down to where that business can just barely keep functioning?

01:07:57

So the the landlord is kind of going at things that way. The uh this is evidently the smallest share with which the tenant can content himself without being a loser. The rent may be thought that it's just a profit for the interest of the stock laid out and the landlord on its improvement But he points out you've got landlords that just inherited land that haven't invested in it at all.

01:08:26

They haven't done anything to improve, they haven't irrigated the land or done anything to improve it, but they still want to get paid rent for it, cause they can. As long as I can get paid I will try to do that. And so it's it's not just uh a a return on an investment.

01:08:48

The rent of land, therefore, considered as the price paid for the use of land, is naturally a monopoly price. It's the landlord, like a monopoly, is trying to squeeze what he can out of the cellar. Rent, it is to be observed, therefore, enters into the composition of the price of commodities in a different way from wages and profit.

01:09:10

Higher low wages and profit are the causes of higher low price. Higher low rent is the effect of it. It's because higher low wages and profit must be paid in order to bring a particular commodity to market that its price is high or low.

01:09:27

But it's because the price is high or low, or a great deal more, or very little more, sufficient to pay wages of profit that affords high rent, low rent, or no rent at all. Okay. My main crit criticism of Smith's theory of values in that paragraph, which is remember what he promised to do up

front.

01:09:51

He said I'm going to give you a theory of prices. What's the theory of prices? It's based on cost of production.

01:09:57

I'm going to give you a theory of wages and a theory of profits and a theory of rents. And you add those three things together. And that's my theory of prices.

01:10:07

And now all of a sudden at end game he kind of changes the deal and says, well, if price is higher than necessary to cover wages and profits, there's something left over. And that's rent. Um well but what determined the price in the first place if if if price is supposed to be wages plus profits plus rent Why is there anything above wages and profits that allows the landlord to charge a rent?

01:10:43

So it's it's uh an inconsistency, I would say. He's it's like I'm just simple addition, uh uh price equals W wage plus profit plus rent, but now rent is equal to price minus the other two. Something is undetermined in this system.

01:11:07

And so He has not given us a sufficient theory of rent. That's that's why Ricardo who we we in we even in economics a lot of the time they're called Ricardian rents. David Ricardo, around 1801, comes up with this explanation He gets he gets uh credit for it.

01:11:34

Uh he gets credit for it. Ricardo himself says, okay, there's uh there the uh Mr. Malthus came up with this idea already and a guy named Edward West came up with this idea already, but this is the better theory of rents than Adam Smith's. So Ricardo admitted it wasn't just his idea, it was at least to other people. And I'm not going to go into Ricardo's theory of rent, because that's a whole different thing.

01:12:03

But uh this happens a lot to economics. If you've taken a macro class Have you heard of the Keynesian multiplier? Is that a term you've heard?

01:12:15

Uh John Maynard Keynes, if you read general theory In his chapter on the multiplier, he says, no, this is a guy named Kahn, who was another Cambridge economist who came up with the idea. It is whoever popularizes something gets credit for it. Uh this happens with music too.

01:12:34

You know, it's uh it depends on who was the biggest seller of a song and not who wrote it or or who even recorded it first So uh uh uh anyway, you're gonna have to wait for David Ricardo to get a sufficient theory of rent Anyway, that it we are out of time. That's a good place to stop, and we'll finish up with with Smith next time. Thank you.